Percentage change in remuneration of the CEO

The table below shows the movement in salary, benefits and Annual Incentive for the CEO between the current and prior years compared to the average remuneration for all Group employees:

	CEO[1] 2019 $000	2018 $000	Per cent change	Average employee 2019 $000	2018 $000	Per cent change
Base salary	720.0	549.4	31.1	100.2	96.1	4.3
Benefits[2]	29.6	132.0	(77.6)	12.7	13.7	(7.3)
Total Annual Incentive[3]	919.5	659.5	39.4	21.3	19.1	11.8

Notes
1. CEO data based on Eric Updyke's starting salary, annualised for 2019.
2. Benefits include employer pension contributions, car allowance, health insurance and life assurance.
3. Total Annual Incentive includes all bonus payments and commission.

Relative importance of the spend on pay

The following table shows the total expenditure on pay for all of the Company's employees compared to distributions to shareholders by way of dividend. In order to provide context for these figures, adjusted operating profit is also shown.

	2019 $ million	2018 $ million	Per cent change
Employee remuneration costs[1]	**220.5**	208.9	5.6
Distributions to shareholders[2]	**28.6**	54.8	(47.8)
Adjusted operating profit[3]	**92.9**	77.1	20.5

Notes
1. Remuneration, social security costs, pension and other related costs and expense of share-based payment (see Note 8 to the Consolidated Financial Statements).
2. Dividends declared and paid in the year include a special dividend paid in 2018 (see Note 12 of the Consolidated Financial Statements). Removing the Special Dividend would give a figure for 2018 of $24.9 million with an increase of 14.86 per cent to the 2019 figure of $28.6 million.
3. Before exceptional items, acquisition related costs, acquired tangible asset amortisation and share-based payment amounting to $4.3 million in total (2018 $19.6 million) (see Note 3 of the Consolidated Financial Statements).

CEO pay ratio

For the purposes of this year's disclosure, the gender pay gap data from our 5 April 2019 snapshot has been used to identify the three appropriate employees for comparison with the CEO (Option B). Further detail on the methodology is set out below.

The table below compares the aggregate 2019 single figure of remuneration for the two individuals who fulfilled the role of CEO during the period (which includes a three month period where both individuals were receiving remuneration) with that of the Group employees who are paid at the 25th percentile (lower quartile), 50th percentile (median) and 75th percentile (upper quartile of its UK employee population).

Year	Method	25th percentile pay ratio	Median pay ratio	75th percentile pay ratio
2019	Option B	72:1	53:1	24:1

The remuneration figures for all employees were determined at 31 December 2019.

Under Option B, the latest available gender pay gap data is used to identify the best equivalent for three Group employees in the UK whose hourly rates of pay are at the 25th, 50th and 75th percentiles for the Group and their total pay and benefits figure for 2019 is then calculated. The identified employees are considered to be reasonably representative since the structure of their remuneration arrangements is in line with that of the majority of the UK workforce. The table below sets out the salary and total pay and benefits for the three identified quartile point employees:

Year	25th percentile (P25)	Median (P50)	75th percentile (P75)
Salary (£)	30,680	44,203	77,579
Total pay and benefits (£)	34,979	47,063	106,327

Each employee's pay and benefits were calculated using each employees remuneration, consistent with the aggregated CEO remuneration, on a full-time equivalent basis. No adjustments were made and no components of pay have been omitted.

Base salaries of all employees, including our Executive Directors, are set with reference to a range of factors including market practice, experience and performance in role. In reviewing the ratios the Committee also noted that the CEO's remuneration package is weighted more heavily towards variable remuneration (including the Annual Incentive and Long-Term Incentive Plan) than the wider workforce due to the nature of the role, and this means the ratio is likely to fluctuate depending on the performance of the business and associated outcomes of incentive plans in each year.